



BRECKSVILLE-BROADVIEW HTS CSD - -
CUYAHOGA COUNTY

Five Year Forecast Financial Report

October, 2019

John Scott, Interim Treasurer

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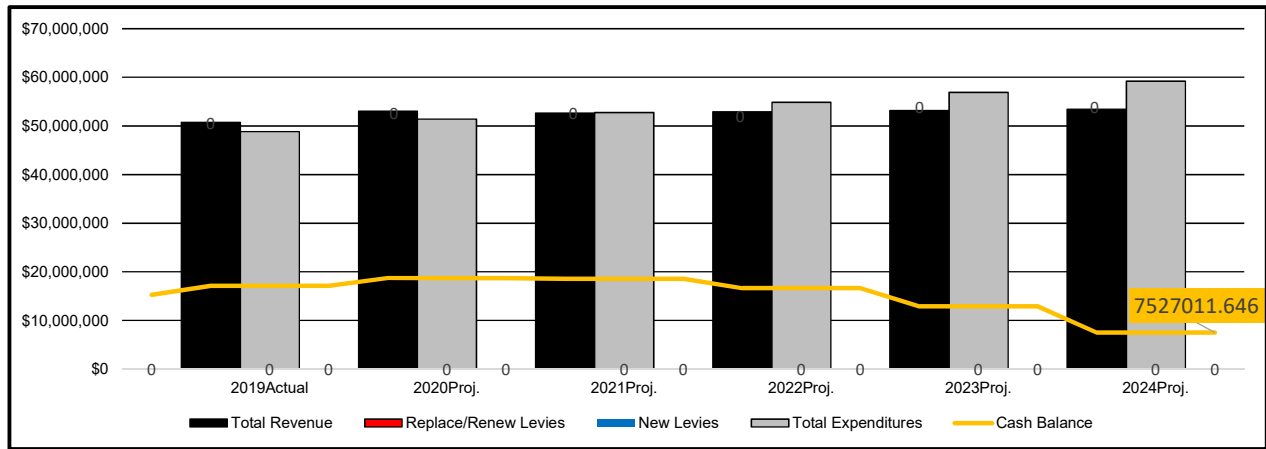
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Forecast Purpose/Objectives

Ohio Department of Education's purposes/objectives for the five-year forecast are:

1. To engage the local board of education and the community in the long range planning and discussions of financial issues facing the school district.
2. To serve as a basis for determining the school district's ability to sign the certificate required by O.R.C. §5705.412, commonly known as the "412 certificate."
3. To provide a method for the Department of Education and Auditor of State to identify school districts with potential financial problems.

Forecast Methodology - This forecast is prepared based upon historical trends and current factors. This information is then extrapolated into estimates for subsequent years. The forecast variables can change multiple times throughout the fiscal year and while cash flow monitoring helps to identify unexpected variances no process is guaranteed. The intent is to provide the district's financial trend over time and a roadmap for decisions aimed at encouraging financial sustainability and stability.



Note: Cash balance includes any existing levy modeled as renewed during the forecast.
Cash balance is not reduced for encumbrances.

Financial Forecast

	Fiscal Year 2020	Fiscal Year 2021	Fiscal Year 2022	Fiscal Year 2023	Fiscal Year 2024
Beginning Balance	17,475,486	19,077,655	18,943,849	16,999,105	13,260,025
+ Revenue	53,015,495	52,609,270	52,909,175	53,169,454	53,448,678
+ Proposed Renew/Replacement Levies	-	-	-	-	-
+ Proposed New Levies	-	-	-	-	-
- Expenditures	(51,413,326)	(52,743,076)	(54,853,919)	(56,908,534)	(59,181,691)
= Revenue Surplus or Deficit	1,602,169	(133,806)	(1,944,744)	(3,739,080)	(5,733,013)
Ending Balance with renewal levies Note: Not Reduced for Encumbrances	19,077,655	18,943,849	16,999,105	13,260,025	7,527,012

Analysis Without Renewal Levies Included:

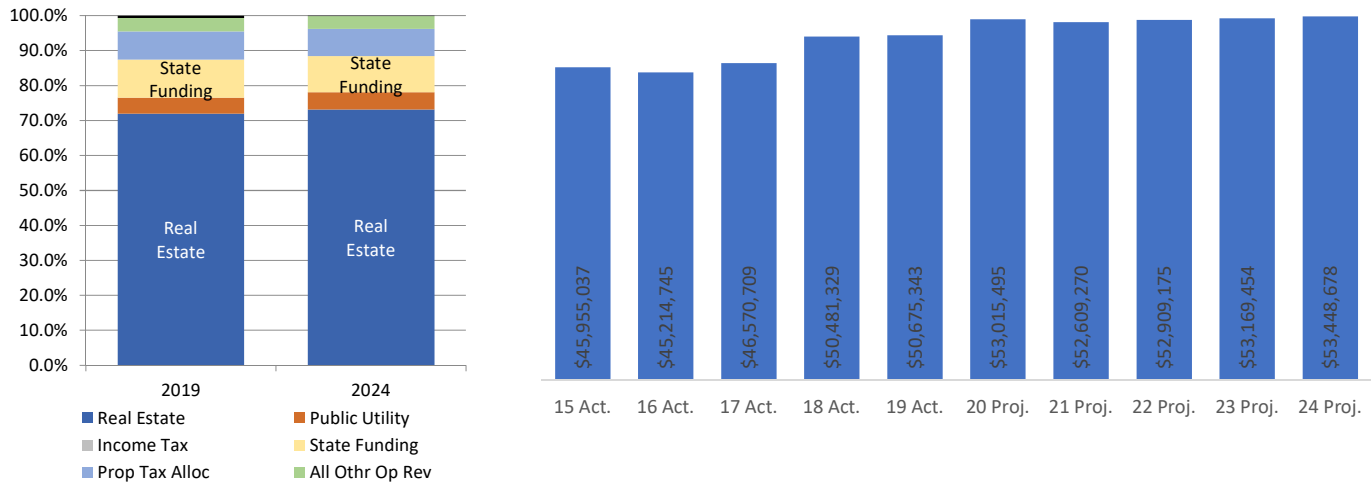
Revenue Surplus or Deficit w/o Levies	1,602,169	(133,806)	(1,944,744)	(3,739,080)	(5,733,013)
Ending Balance w/o Levies	19,077,655	18,943,849	16,999,105	13,260,025	7,527,012

In FY 2020 a revenue surplus is expected. This means that expenditures are expected to be less than revenue by -\$1,602,169 in FY 2020. By the last year of the forecast, FY 2024, the district is expected to have a revenue shortfall where expenditures are projected to be greater than revenue by \$5,733,013. The district would need to cut its FY 2024 projected expenses by 10.73% in order to balance its budget without additional revenue.

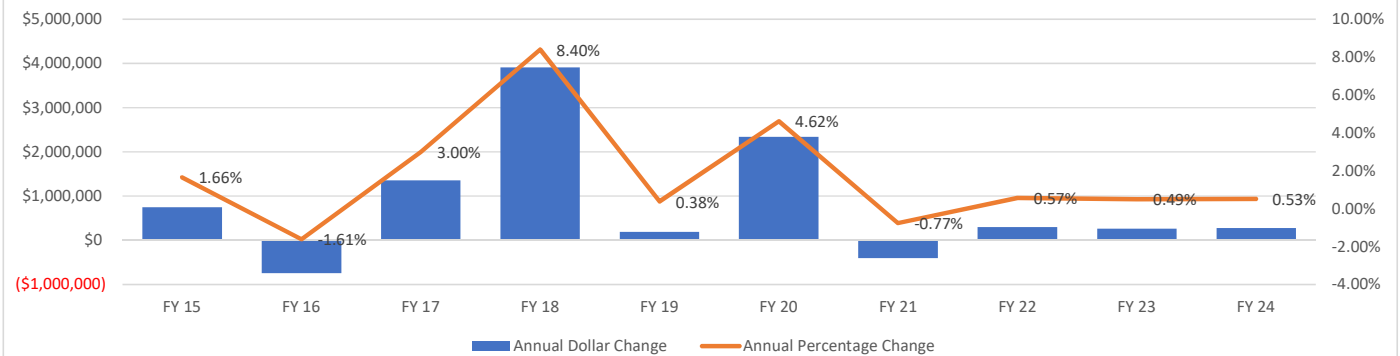
The district's cash balance is positive at year-end in FY 2020 and is projected to worsen by FY 2024. A worsening cash balance can erode the district's financial stability over time.

Revenue Sources and Forecast Year-Over-Year Projected Overview

Sources of Revenue Over Time



Year-Over-Year Dollar & Percentage Change



5-Year Historical Actual Average Annual Dollar Change
Compared to 5-Year Projected

	Historical Average Annual \$\$ Change	Projected Average Annual \$\$ Change	Projected Compared to Historical Variance
Real Estate	\$1,204,340	\$530,989	(\$673,351)
Public Utility	\$89,486	\$64,980	(\$24,505)
Income Tax	\$0	\$0	\$0
State Funding	\$42,178	(\$3,070)	(\$45,248)
Prop Tax Alloc	(\$328,752)	\$17,097	\$345,849
All Othr Op Rev	\$59,034	\$5,434	(\$53,600)
Other Sources	\$27,671	(\$60,763)	(\$88,434)
Total Average Annual Change	\$1,093,957	\$554,667	(\$539,290)
	2.37%	1.09%	-1.28%

Total revenue increased 2.37% or \$1,093,957 annually during the past five years and is projected to increase 1.09% or \$554,667 annually through FY 2024. Real Estate has the most projected average annual variance compared to the historical average at - \$673,351.

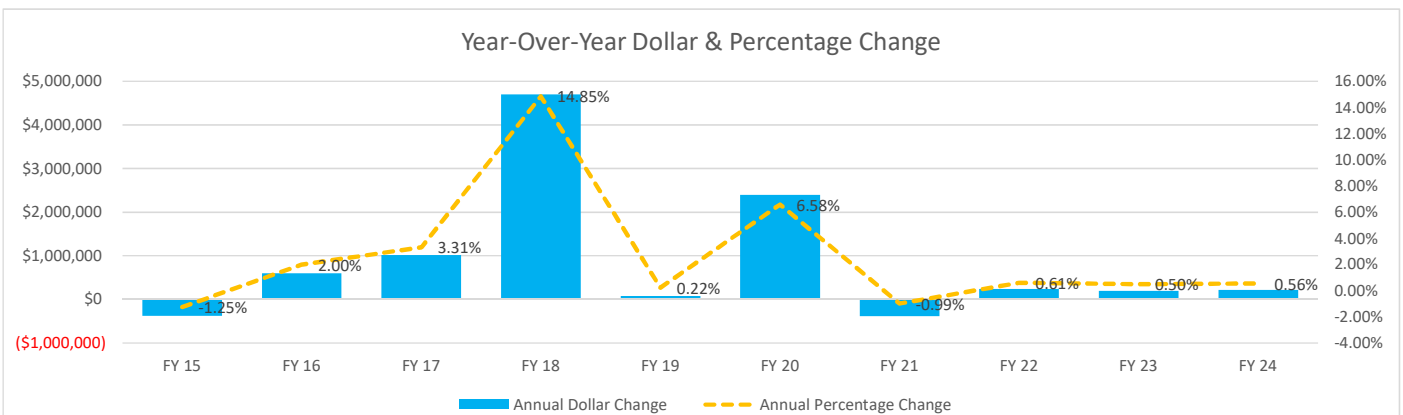
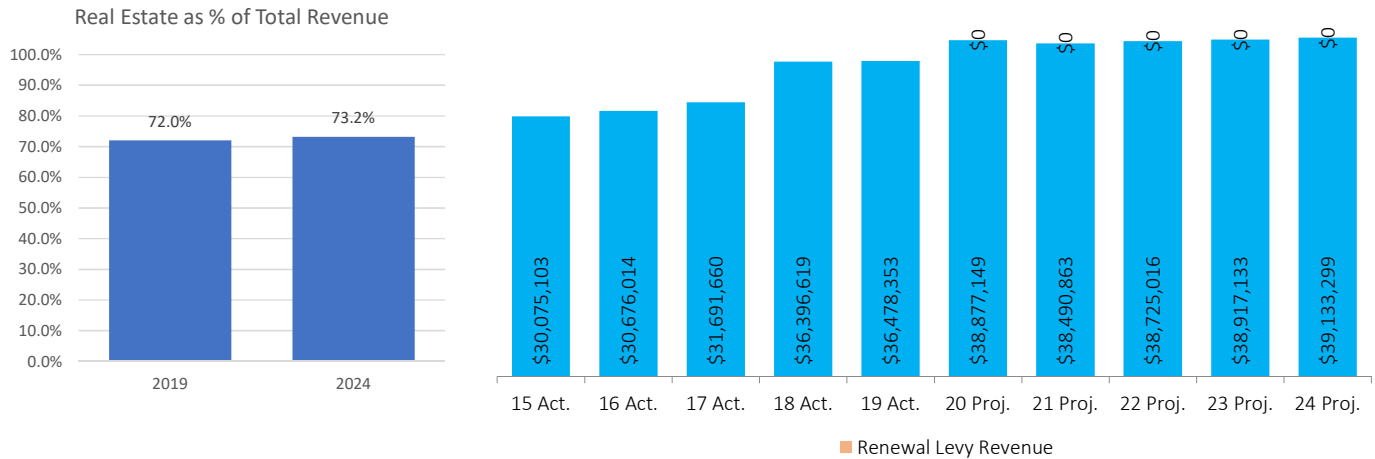
Note: Expenditure average annual change is projected

to be > \$2,067,078

On an annual average basis, expenditures are projected to grow faster than revenue.

1.010 - General Property Tax (Real Estate)

Revenue collected from taxes levied by a school district by the assessed valuation of real property using effective tax rates for class I (residential/agricultural) and class II (business).



Values, Tax Rates and Gross Collections							Gross Collection Rate Including Delinquencies
Tax Yr	Valuation	Value Change	Class I Rate	Change	Class II Rate	Change	
2018	1,102,716,340	98,695,890	37.49	(3.15)	45.37	(2.63)	99.6%
2019	1,107,766,340	5,050,000	37.49	-	45.37	-	98.5%
2020	1,112,841,950	5,075,610	37.49	-	45.37	-	98.5%
2021	1,142,996,326	30,154,376	36.60	(0.90)	45.49	0.12	98.5%
2022	1,148,146,326	5,150,000	36.60	-	45.49	-	98.5%
2023	1,153,346,326	5,200,000	36.60	-	45.49	-	98.5%

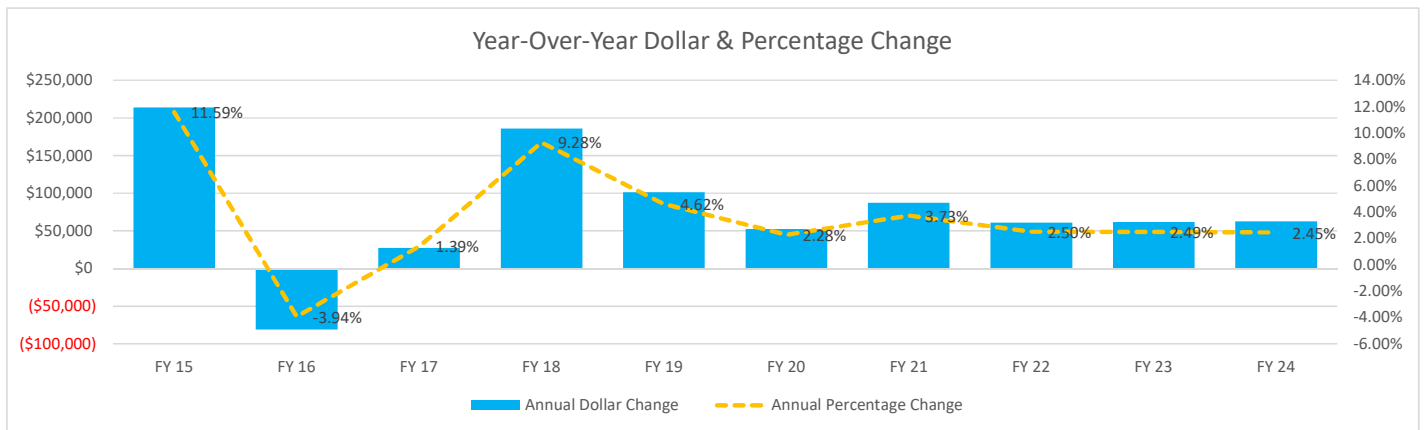
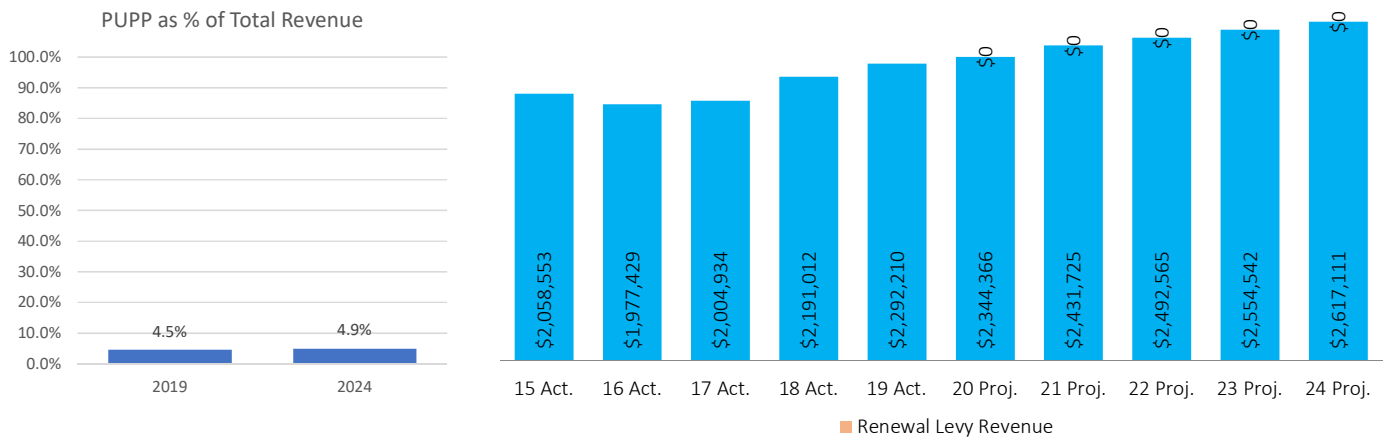
Real estate property tax revenue accounts for 71.98% of total revenue. Class I or residential/agricultural taxes make up approximately 79.25% of the real estate property tax revenue. The Class I tax rate is 37.49 mills in tax year 2019. The projections reflect an average gross collection rate of 98.5% annually through tax year 2023. The revenue changed at an average annual historical rate of 3.83% and is projected to change at an average annual rate of 1.45% through FY 2024.

The bump in real property taxes this fiscal year is caused by the lingering impact of homeowner behavioral reactions to the federal tax reform changes at the end of 2017. The acceleration of payments into the first half of FY 2018 caused artificially low levels of revenue in FY 2019. The jump in revenue is a reversion to historical payment practices. Growth going forward is expected to be minimal.

**Projected % trends include renewal levies*

1.020 - Public Utility Personal Property

Revenue generated from public utility personal property valuations multiplied by the district's full voted tax rate.



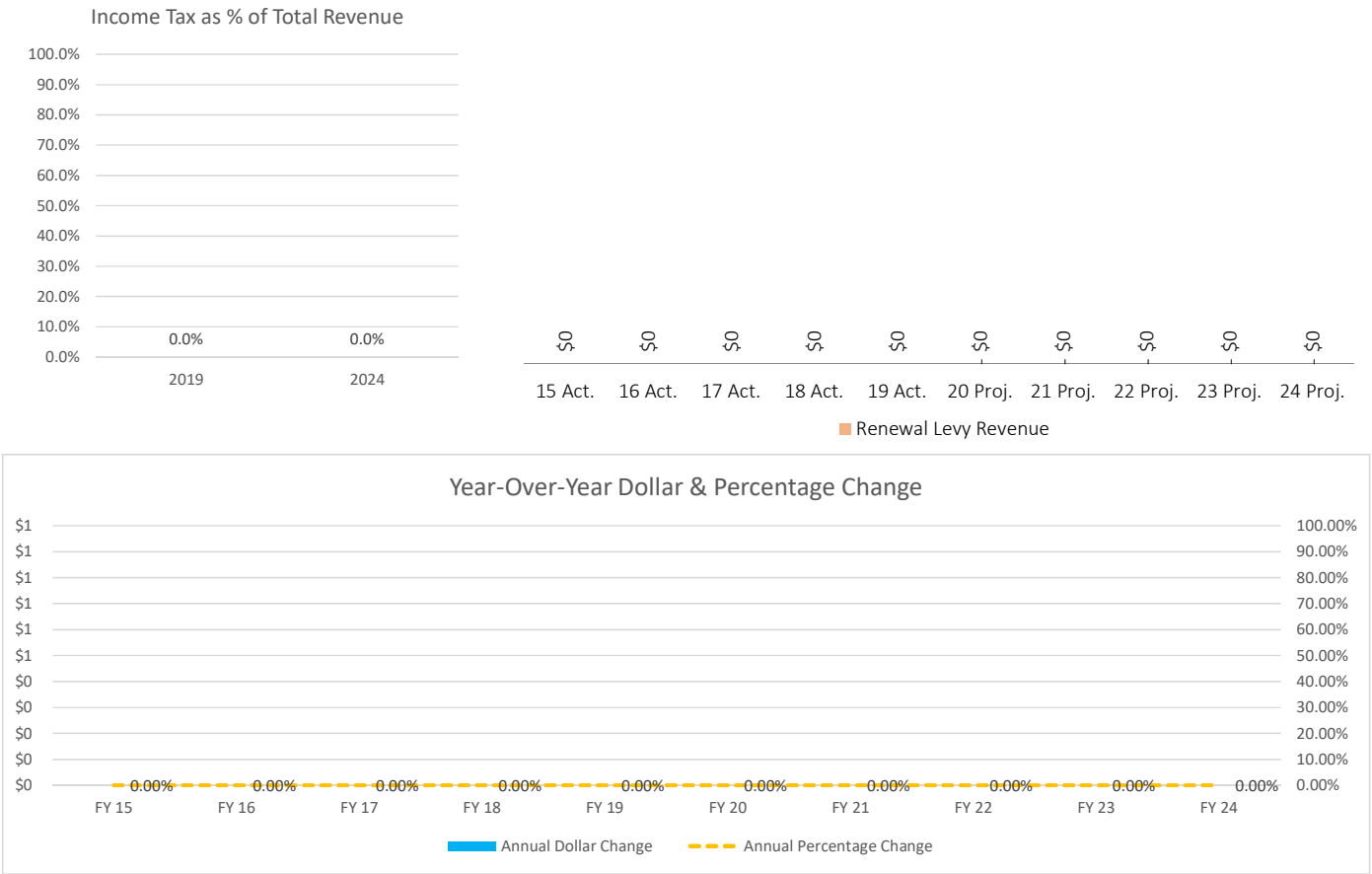
Values and Tax Rates					Gross Collection Rate Including Delinquencies
Tax Year	Valuation	Value Change	Full Voted Rate	Change	
2018	29,226,810	97,040	78.43	-	100.0%
2019	30,580,400	1,353,590	78.43	-	100.0%
2020	31,345,512	765,112	78.43	-	100.0%
2021	32,129,751	784,239	78.43	-	100.0%
2022	32,924,751	795,000	78.43	-	100.0%
2023	33,724,751	800,000	78.43	-	100.0%

The public utility personal property tax revenue is generated from the personal property values, additions, and depreciation reported by the utility companies. This category currently makes up 4.52% of total district revenue. The property is taxed at the full voted tax rate which in tax year 2019 is 78.43 mills. The forecast is modeling an average gross collection rate of 100.00%. The revenue changed historically at an average annual dollar amount of \$89,486 and is projected to change at an average annual dollar amount of \$64,980 through FY 2024.

**Projected % trends include renewal levies*

1.030 - No Income Tax

Revenue collected from income tax earmarked specifically to support schools with a voter approved tax by residents of the school district; separate from federal, state and municipal income taxes.

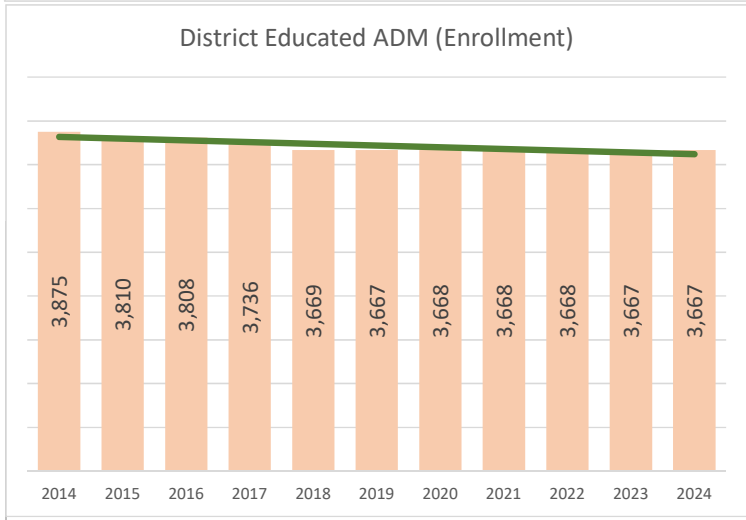
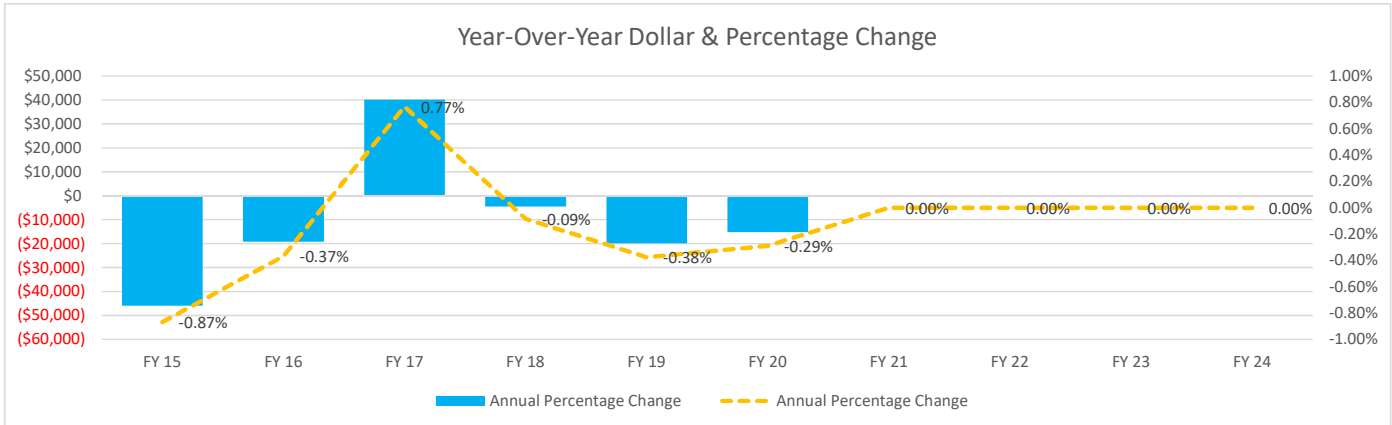
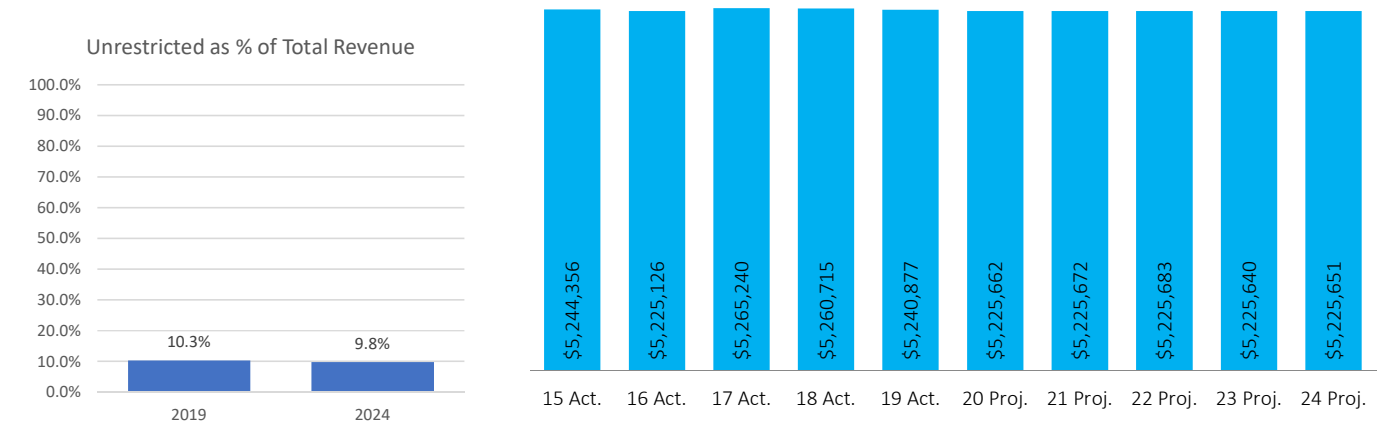


The district does not have an income tax levy.	
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*Projected % trends include renewal levies

1.035 - Unrestricted Grants-in-Aid

Funds received through the State Foundation Program with no restriction.

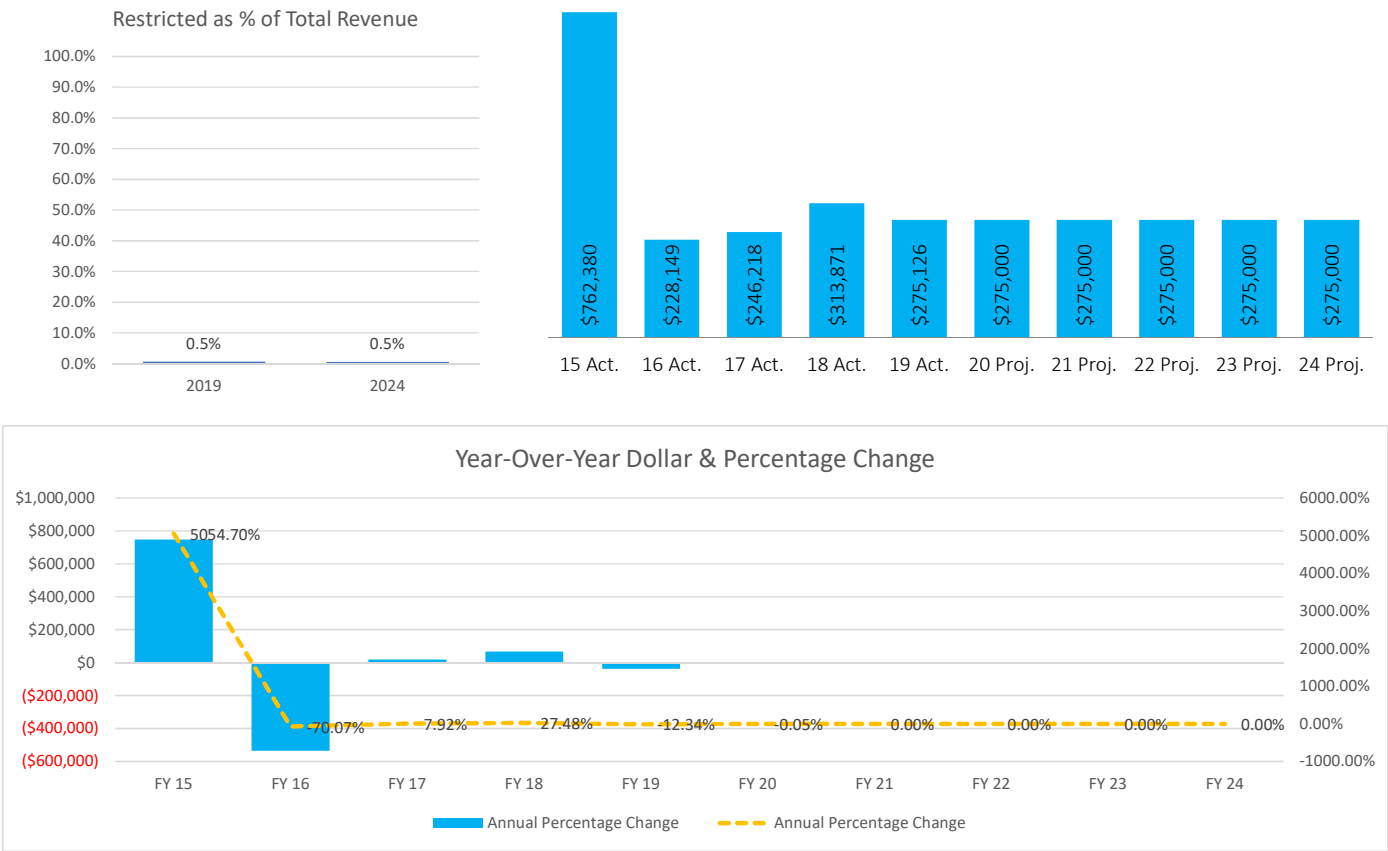


The FY 2019 per pupil and foundation revenue amount is the base aid amount used in FY 2020. In addition to its FY 2019 base funding amount of \$4,721,284 the district is projected to receive FY 2020 categorical funding of \$135,725. These funds will be recorded in a special revenue fund and are not included in this forecast. The district has the option to move some expenditures from the general fund forecast to the special revenue fund receiving these dollars. For fiscal year 2022 - 2024, the district is projecting an average annual increase of 0.0%

In FY 2019, about half the district's state aid came from guaranteed funding. Because of that previous status and anticipated continued flat enrollment going forward, the district is assumed to be flat funded by the state in FYs 2022-2024.

1.040 & 1.045 - Restricted Grants-in-Aid

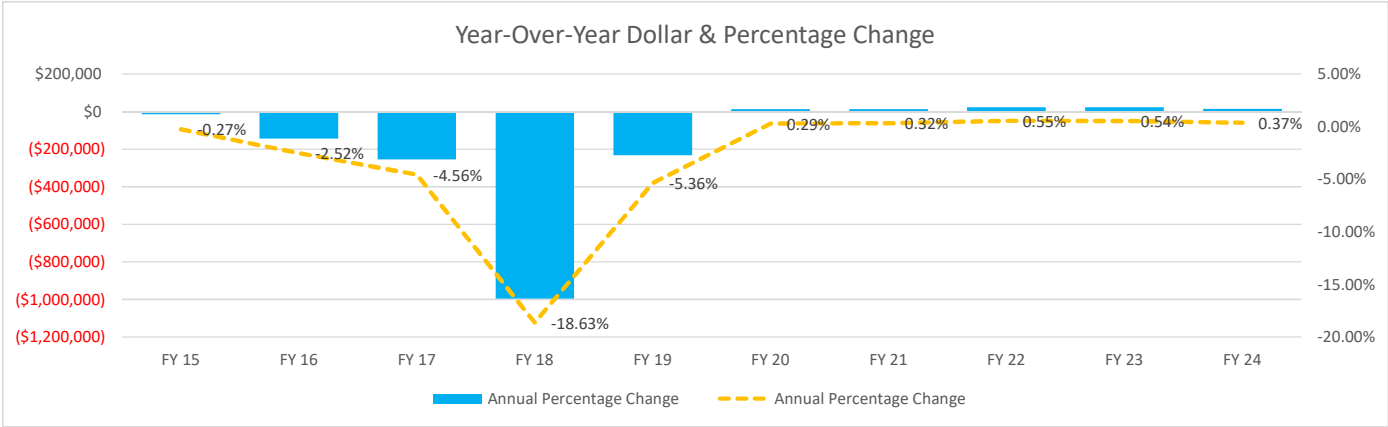
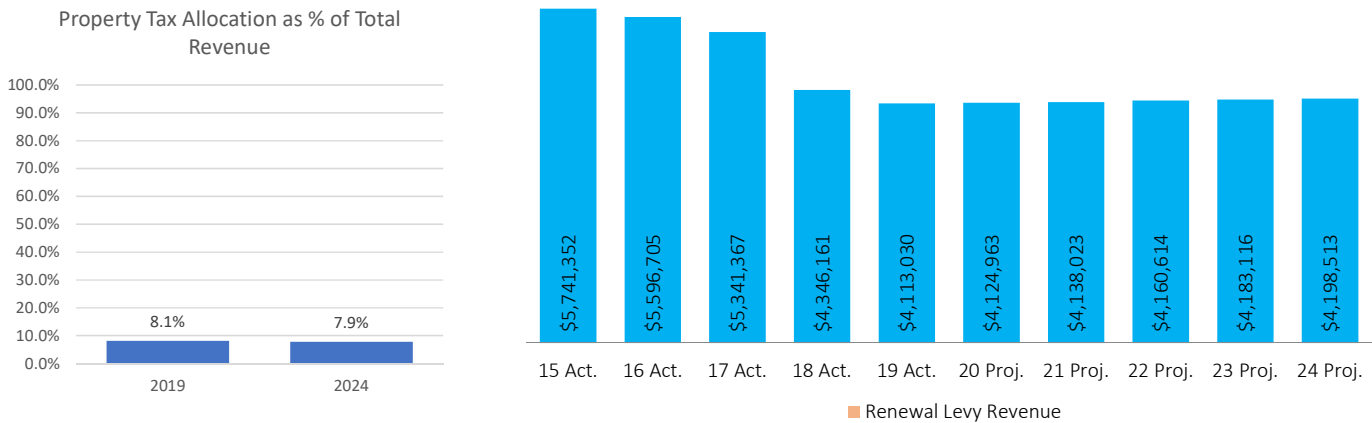
Funds received through the State Foundation Program or other allocations that are restricted for specific purposes.



Restricted aid is the portion of state per pupil funding that must be classified as restricted use. Historically the district's restricted state aid changed annually on average by \$32,526 and is projected to be flat going forward. Restricted funds represent 0.54% of total revenue.

1.050 - Property Tax Allocation

Includes funds received for Tangible Personal Property Tax Reimbursement, Electric Deregulation, Homestead and Rollback.



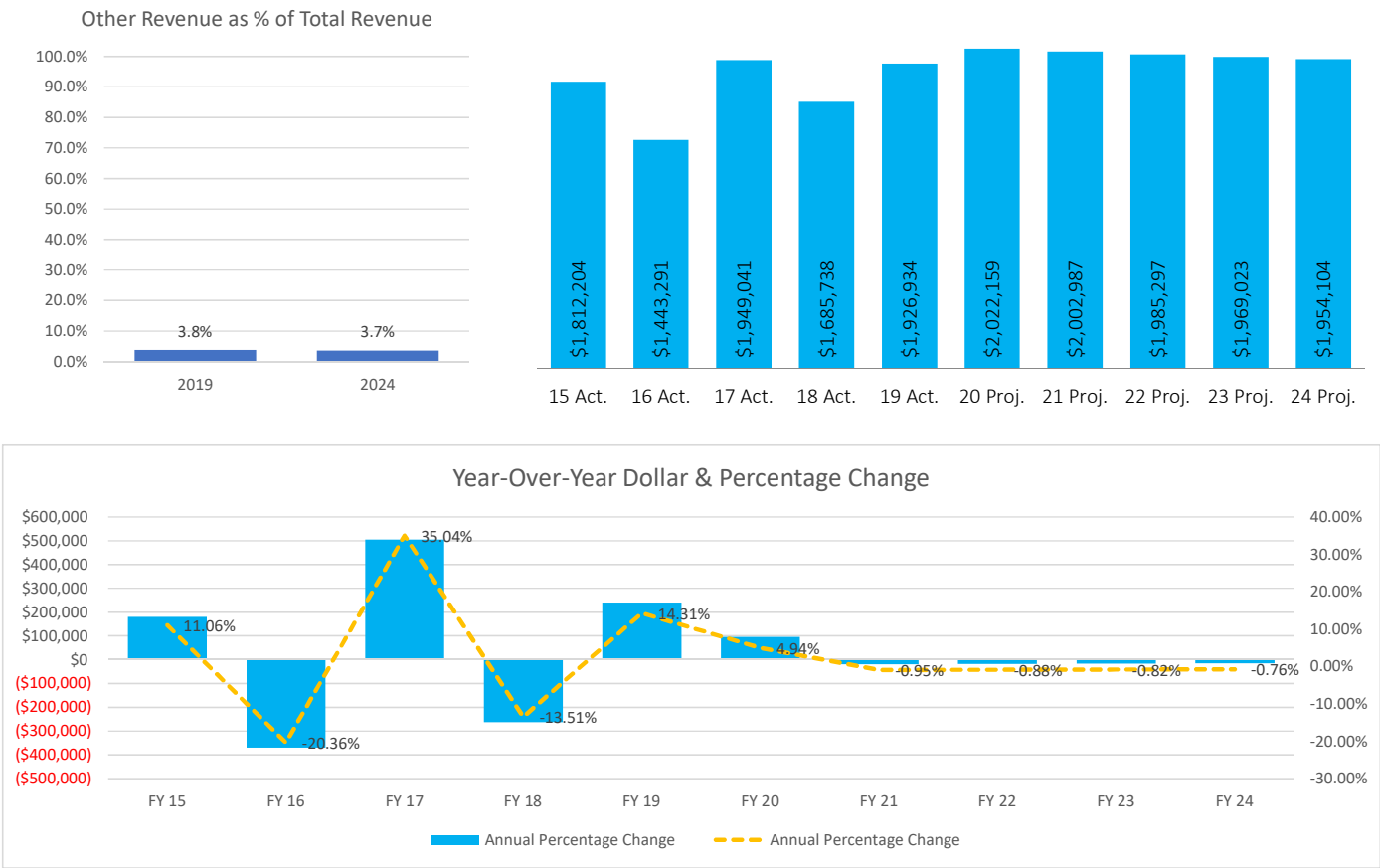
Property tax allocation primarily consists of reimbursements from the state of Ohio for local taxpayer credits or reductions. The state reduces the local taxpayer's tax bill with a 10% rollback credit, and 2.5% owner-occupied rollback credit, plus a homestead credit for qualifying taxpayers. In FY 2020, approximately 10.4% local residential property taxes will be reimbursed by the state in the form of rollback credits and approximately 1.7% will be reimbursed in the form of qualifying homestead exemption credits.

The revenue drops from FY 2015 to FY 2018 is due to the elimination of the tangible property tax reimbursements from the state.

**Projected % trends include renewal levies*

1.060 - All Other Operating Revenues

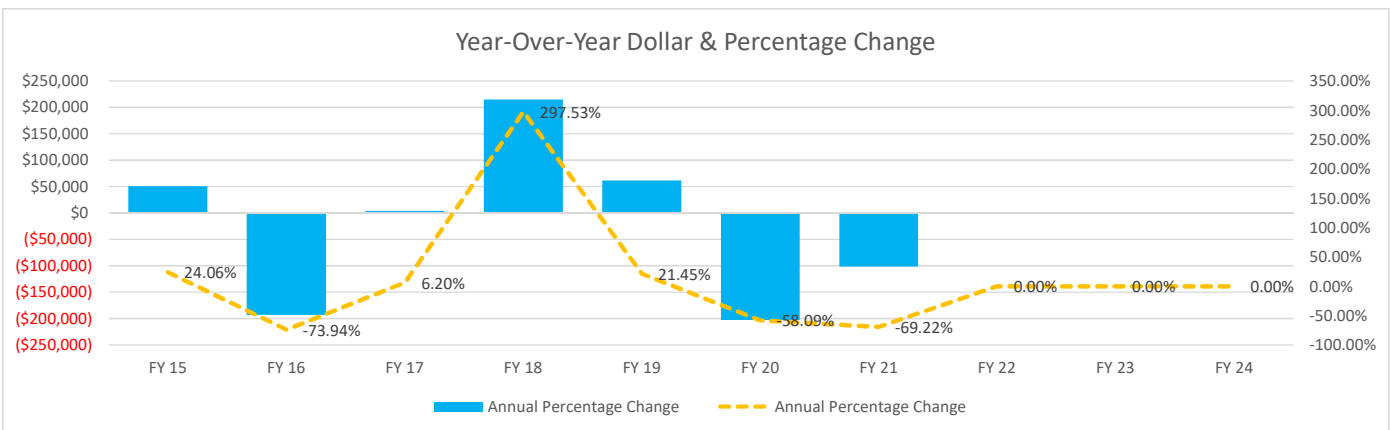
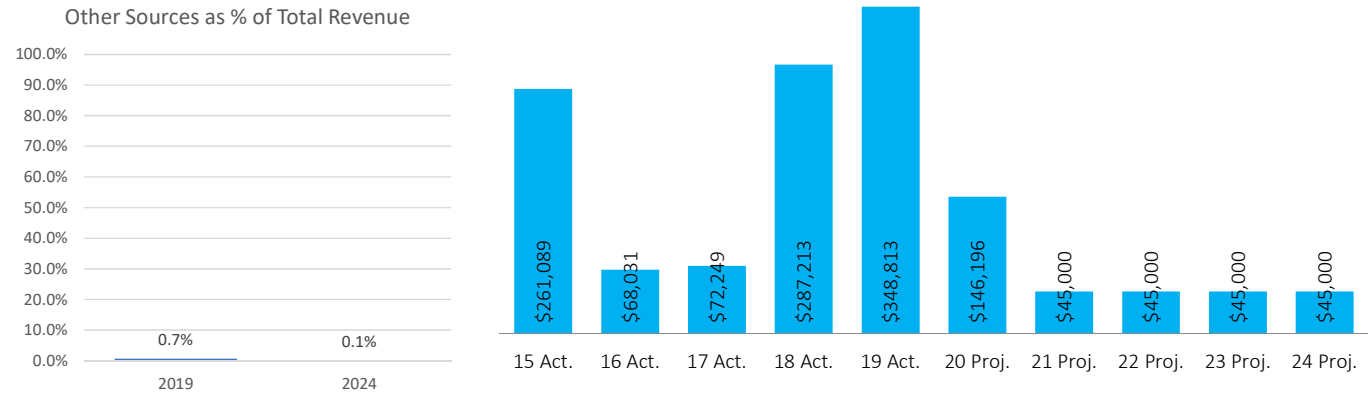
Operating revenue sources not included in other lines; examples include tuition, fees, earnings on investments, rentals, and donations.



Other revenue includes tuition received by the district for non-resident students educated by the district. It also includes interest income, payments in lieu of taxes, and miscellaneous revenue. The historical average annual change was \$59,034. The projected average annual change is \$5,434 through FY 2024.

2.070 - Total Other Financing Sources

Includes proceeds from sale of notes, state emergency loans and advancements, operating transfers-in, and all other financing sources like sale and loss of assets, and refund of prior year expenditures.

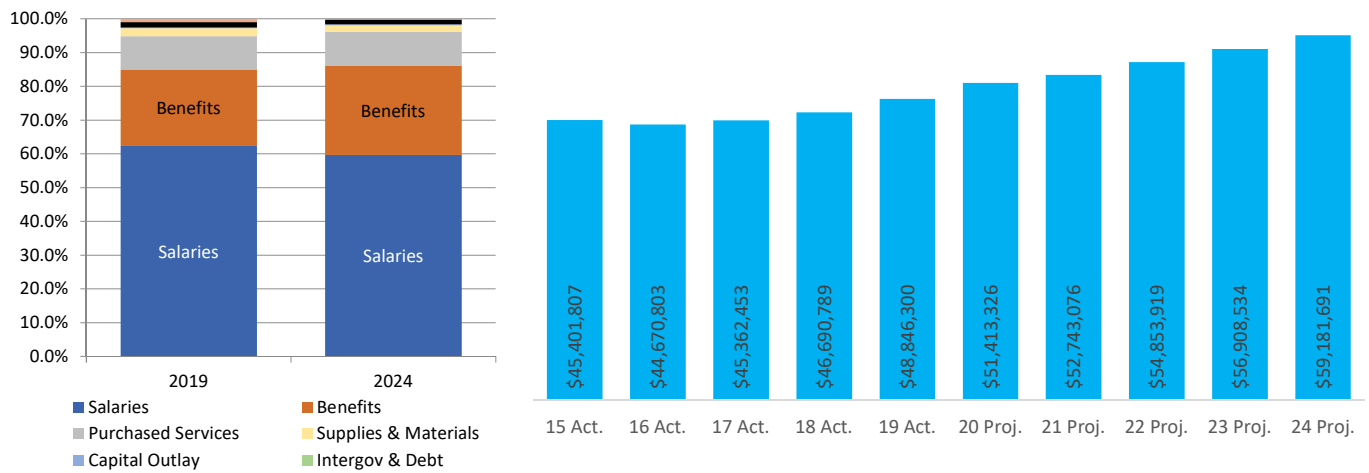


	2019	2020	FORECASTED			
			2021	2022	2023	2024
Transfers In	-	-	-	-	-	-
Advances In	92,745	141,196	40,000	40,000	40,000	40,000
All Other Financing Sources	256,068	5,000	5,000	5,000	5,000	5,000

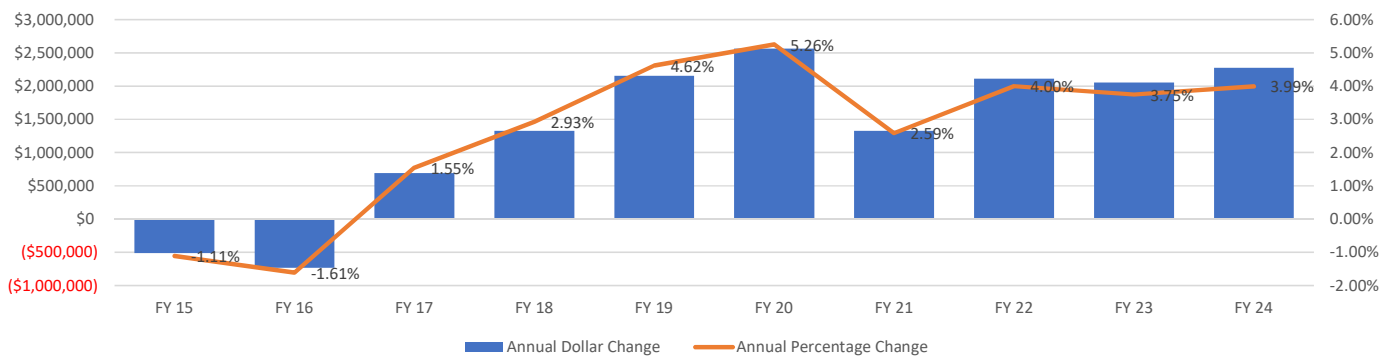
Other sources includes revenue that is generally classified as non-operating. It is typically in the form of advances-in which are the repayment of temporary loans made from the general fund to other district funds. In FY 2019 the district receipted \$92,745 as advances-in and is projecting advances of \$141,196 in FY 2020. The district also receives other financing sources such as refund of prior year expenditures in this category. The district is projecting that all other financing sources will be \$5,000 in FY 2020 and average \$5,000 annually through FY 2024.

Expenditure Categories and Forecast Year-Over-Year Projected Overview

Expenditure Categories Over Time



Year-Over-Year Dollar & Percentage Change



5-Year Historical Actual Average Annual Dollar Change
Compared to 5-Year Projected

	Historical Average Annual \$\$ Change	Projected Average Annual \$\$ Change	Projected Compared to Historical Variance
Salaries	\$54,894	\$972,720	\$917,826
Benefits	\$336,059	\$904,780	\$568,721
Purchased Services	\$178,958	\$242,901	\$63,943
Supplies & Materials	\$40,959	(\$16,614)	(\$57,573)
Capital Outlay	(\$5,370)	\$16,347	\$21,717
Intergov & Debt	(\$65,247)	\$0	\$65,247
Other Objects	(\$6,682)	\$14,293	\$20,976
Other Uses	\$53,308	(\$67,349)	(\$120,657)
Total Average Annual Change	\$586,877	\$2,067,078	\$1,480,201
	1.27%	4.23%	2.96%

Total expenditures increased 1.27% or \$586,877 annually during the past five years and is projected to increase 4.23% or \$2,067,078 annually through FY2024. Salaries has the most projected average annual variance compared to the historical average at \$917,826.

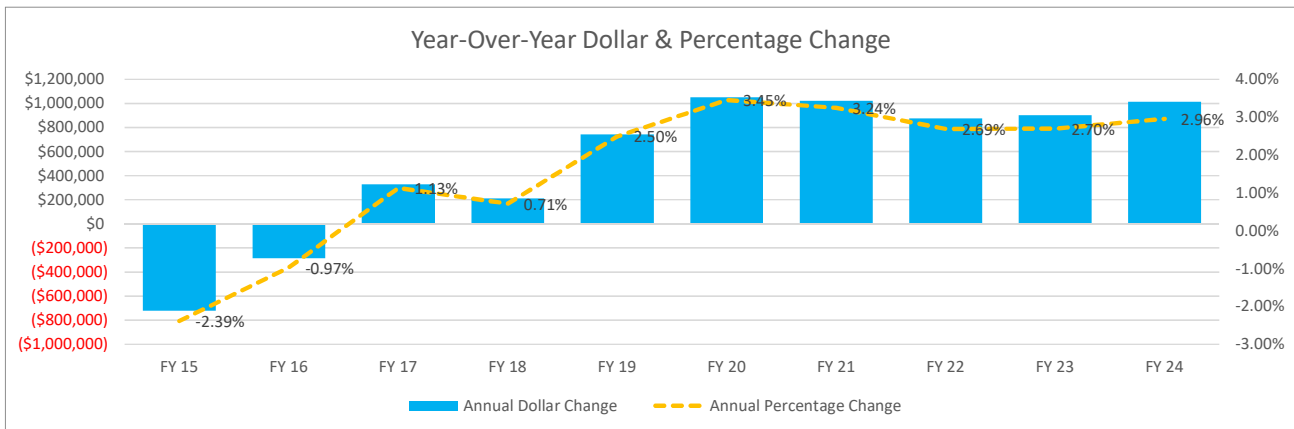
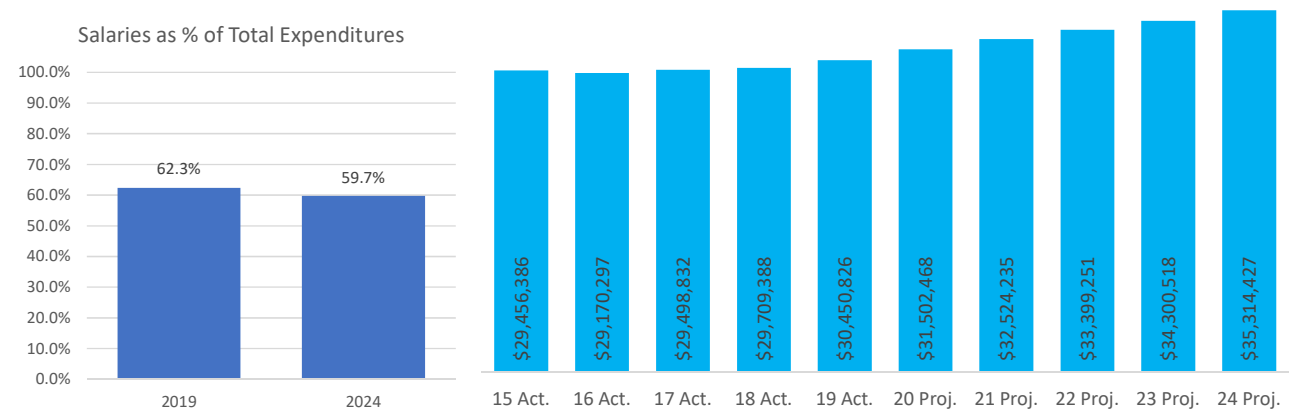
The spending bump in FY 2020 and subsequent drop in FY 2021 is due to the one-time purchase of school buses out of the operating budget.

Note: Expenditure average annual change is projected
to be > \$2,067,078

On an annual average basis, revenues are projected to grow slower than expenditures.

3.010 - Personnel Services

Employee salaries and wages, including extended time, severance pay, supplemental contracts, etc.

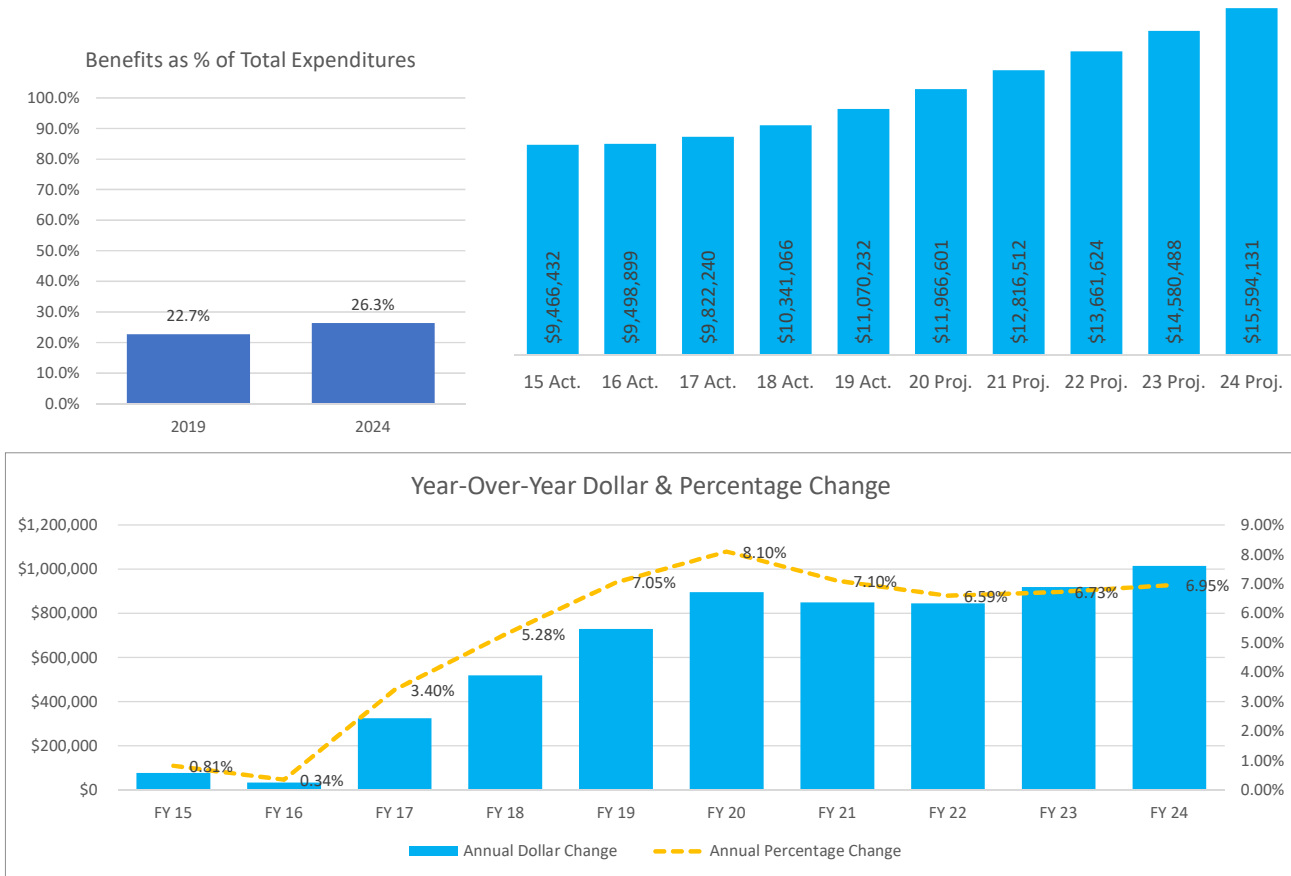


Salaries represent 62.34% of total expenditures and increased at a historical average annual rate of 0.20% or \$54,894. This category of expenditure is projected to grow at an average annual rate of 3.01% or \$972,720 through FY 2024. The projected average annual rate of change is 2.81% more than the five year historical annual average.

Salaries are forecasted to grow 3.5 percent in FY 2020 and FY 2021 and then three percent thereafter. These growth rates represent both base and step increases, net of any future savings from attrition related cost reductions.

3.020 - Employees' Benefits

Retirement for all employees, Workers Compensation, early retirement incentives, Medicare, unemployment, pickup on pickup, and all health-related insurances.

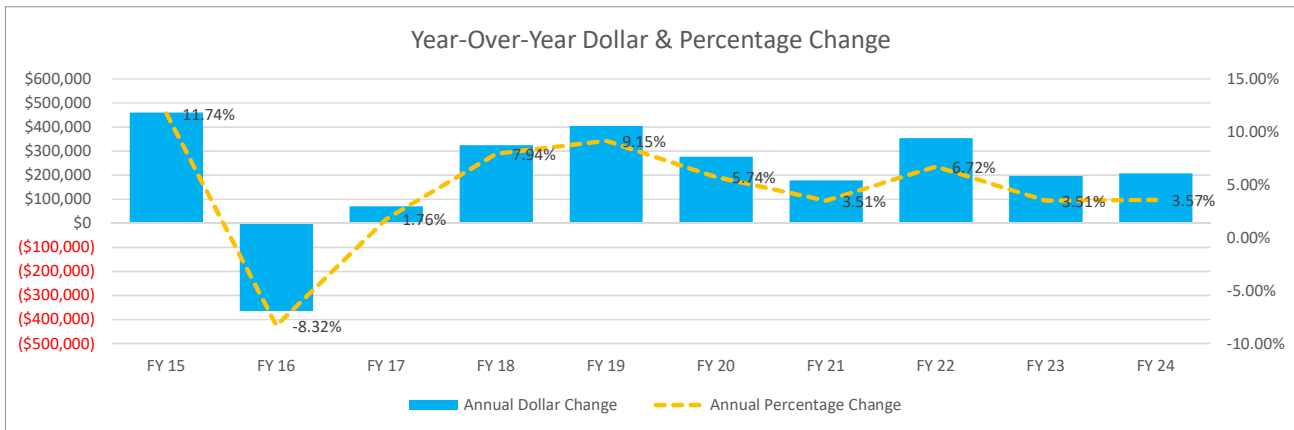
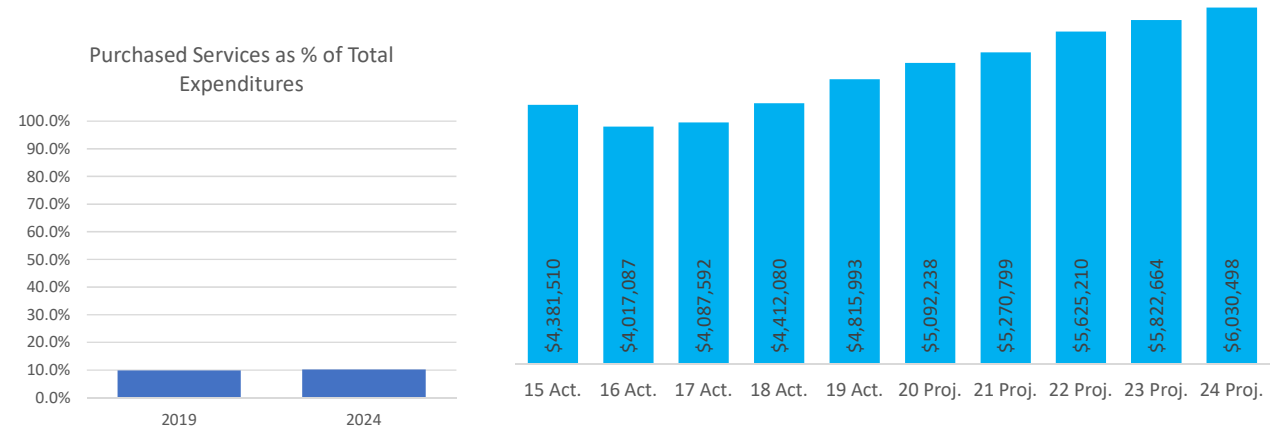


Benefits represent 22.66% of total expenditures and increased at a historical average annual rate of 3.38% in the previous five years. This category of expenditure is projected to grow at an annual average rate of 7.09% through FY 2024. The projected average annual rate of change is 3.72% more than the five year historical annual average.

Health insurance premiums are expected to increase 10 percent annually through the forecast period.

3.030 - Purchased Services

Amounts paid for personal services rendered by personnel who are not on the payroll of the school district, and other services which the school district may purchase.

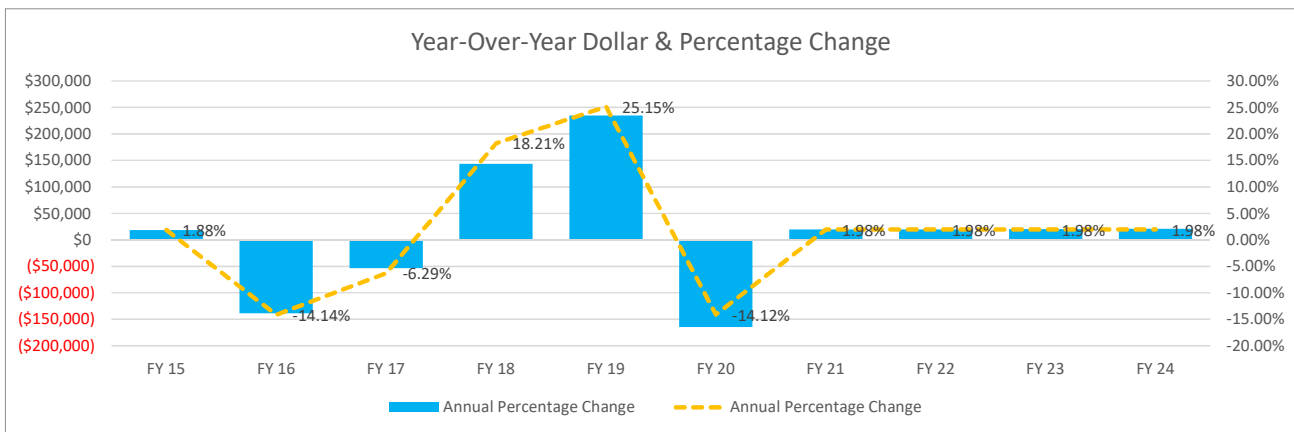
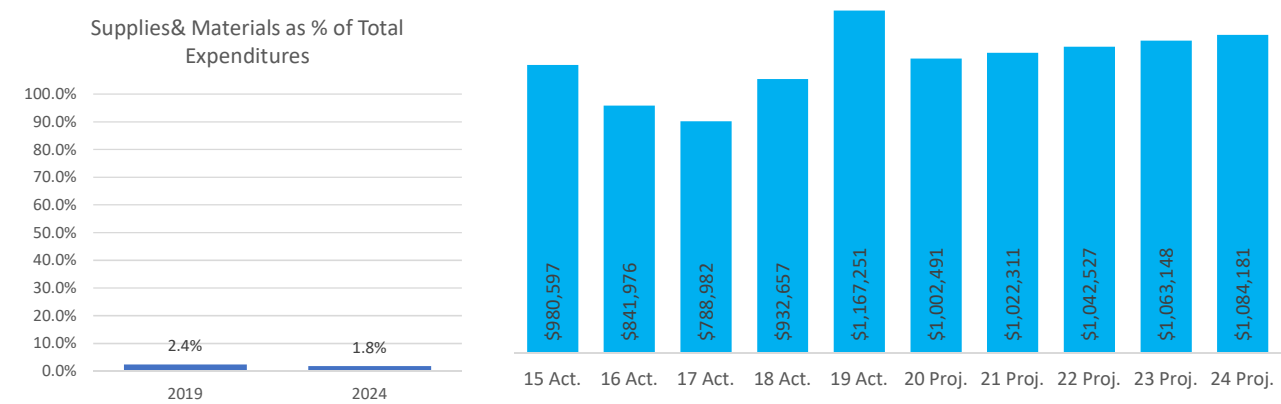


Purchased Services represent 9.86% of total expenditures and increased at a historical average annual rate of 4.45%. This category of expenditure is projected to grow at an annual average rate of 4.61% through FY 2024. The projected average annual rate of change is 0.16% more than the five year historical annual average.

Purchased services costs have risen sharply over the last two years. Moving forward, the growth rates are expected to slow somewhat. The spike in FY 2022 is from new Student Wellness spending moving from Fund 467 back to the general fund after the current biennium. Depending on how the district spends the wellness money, actual expenditures in FY 2022 might be in a different line item. A continuation of wellness funds beyond the current biennium could allow this spending to continue in Fund 467, outside the five-year forecast.

3.040 - Supplies & Materials

Expenditures for general supplies, instructional materials including textbooks and media material, bus fuel and tires, and all other maintenance supplies.

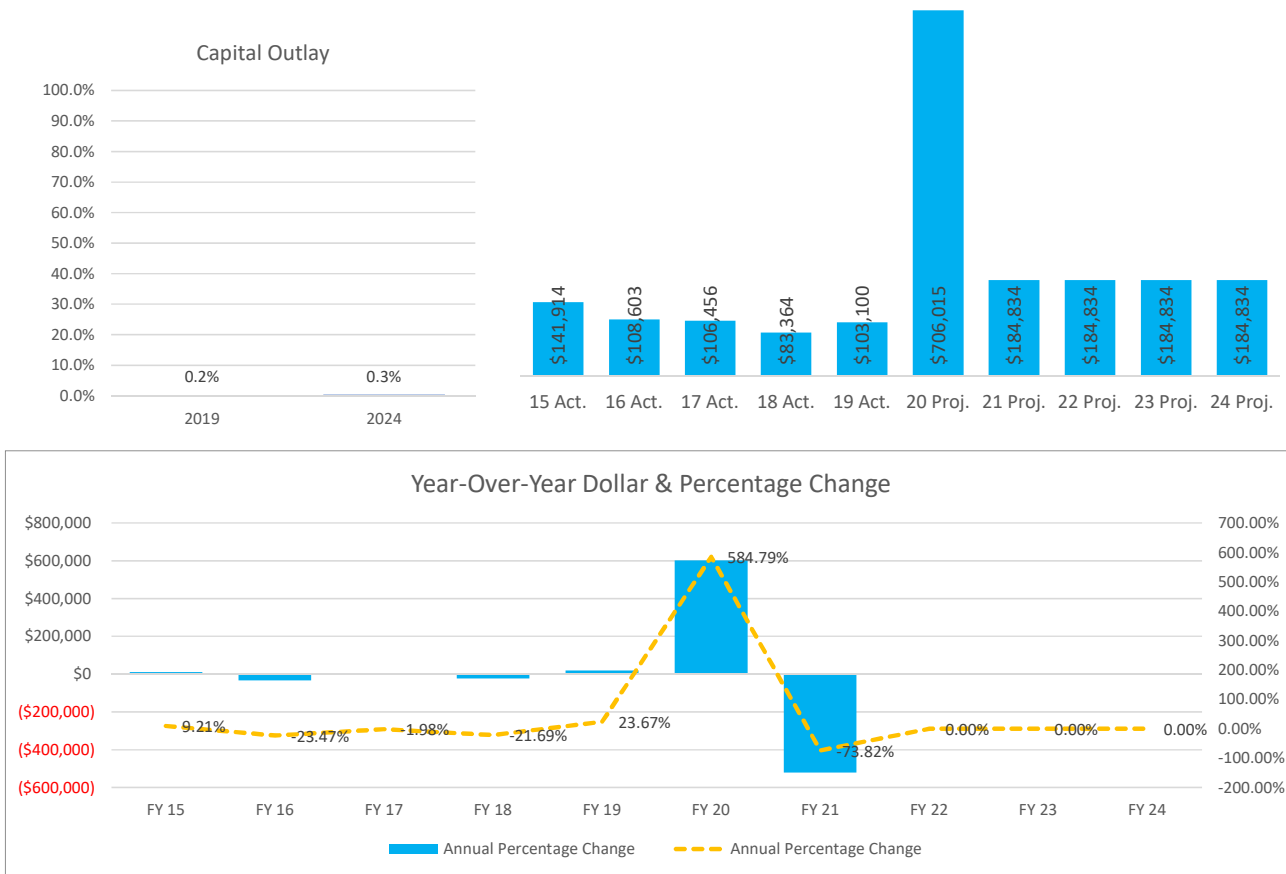


Supplies & Materials represent 2.39% of total expenditures and increased at a historical average annual rate of 4.96%. This category of expenditure is projected to decrease at an annual average rate of -1.24% through FY 2024. The projected average annual rate of change is -6.20% less than the five year historical annual average.

Supply spending spiked in FY 2019 because of one-time expenditures on software. Spending is expected to return to more normal levels this year and grow with inflation moving forward.

3.050 - Capital Outlay

This line includes expenditures for items having at least a five-year life expectancy, such as land, buildings, improvements of grounds, equipment, computers/technology, furnishings, and buses.

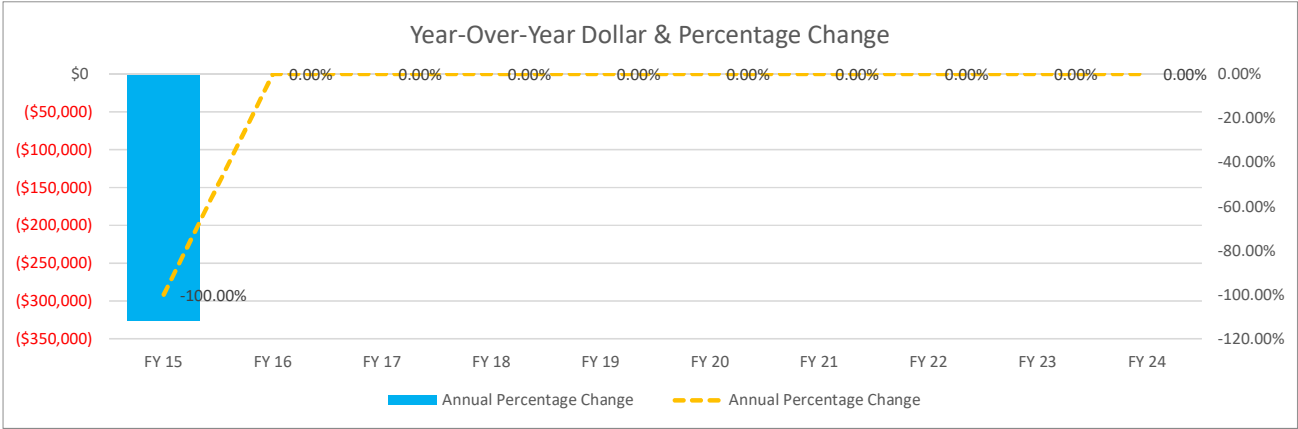
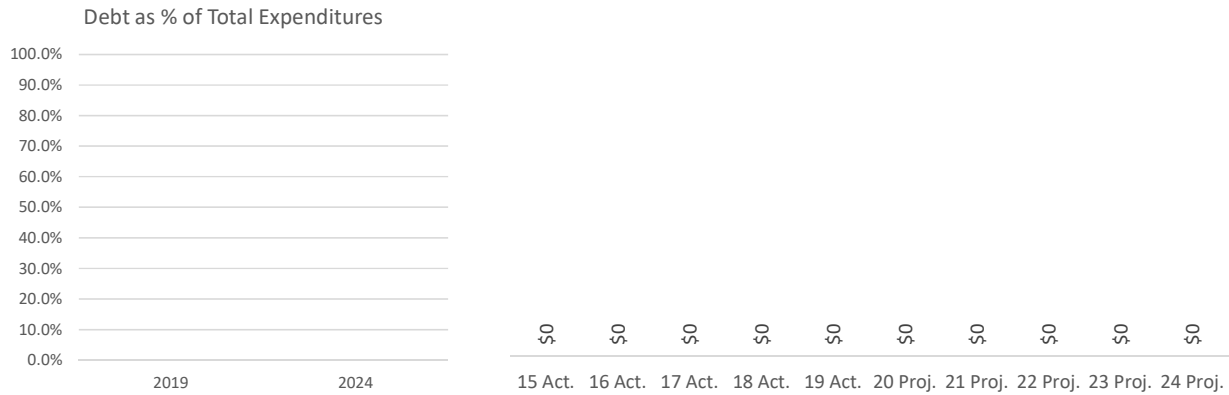


Capital Outlay represent 0.21% of total expenditures and decreased at a historical average annual amount of -\$5,370. This category of expenditure is projected to grow at an annual average amount of \$16,347 through FY 2024. The projected average annual change is more than the five year historical annual average.

The large increase in FY 2020 is from the purchase of buses out of the operating fund that is not expected to recur.

3.060-4.060 - Intergovernmental & Debt

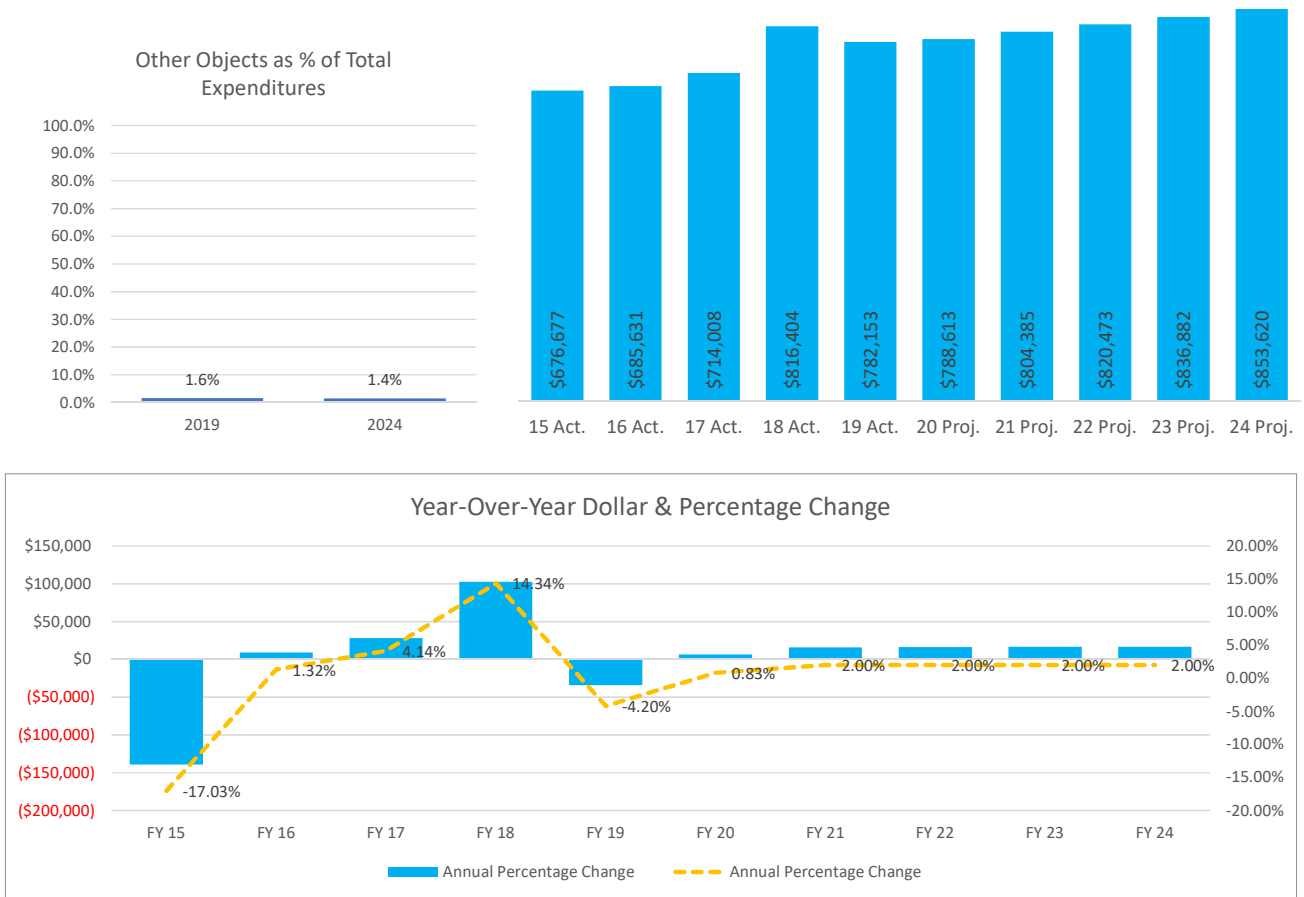
These lines account for pass through payments, as well as monies received by a district on behalf of another governmental entity, plus principal and interest payments for general fund borrowing.



The Intergovernmental/Debt expenditure category details general fund debt issued by the District.

4.300 - Other Objects

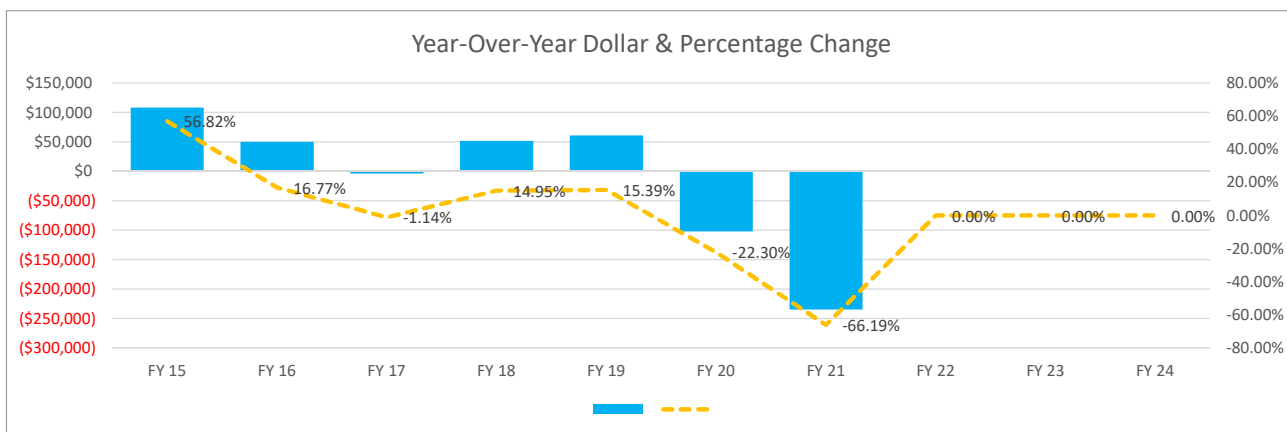
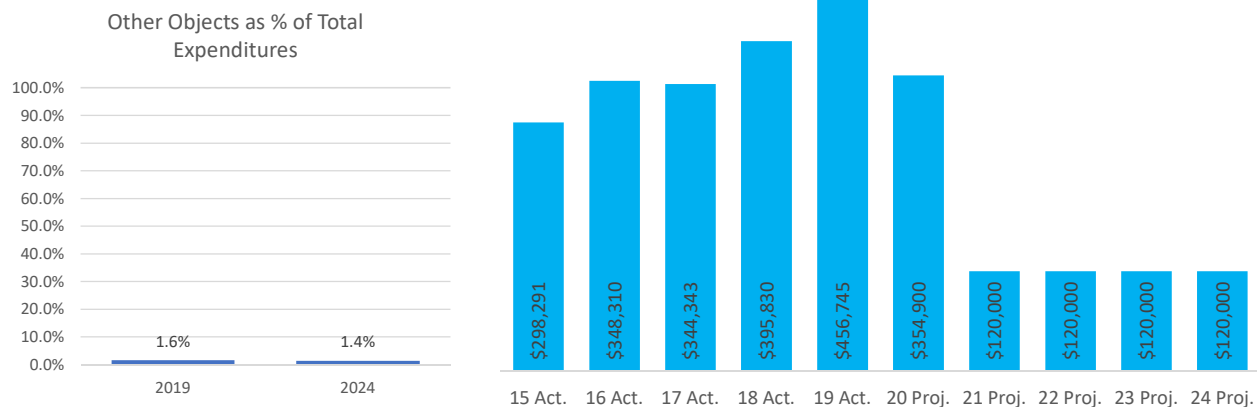
Primary components for this expenditure line are membership dues and fees, ESC contract deductions, County Auditor/Treasurer fees, audit expenses, and election expenses.



Other Objects represent 1.60% of total expenditures and decreased at a historical average annual rate of -0.28%. This category of expenditure is projected to grow at an annual average rate of 1.77% through FY 2024. The projected average annual rate of change is 2.05% more than the five year historical annual average.

5.040 - Total Other Financing Uses

Operating transfers-out, advances out to other funds, and all other general fund financing uses.



	2019	FORECASTED				
		2020	2021	2022	2023	2024
Transfers Out	315,549	314,900	80,000	80,000	80,000	80,000
Advances Out	141,196	40,000	40,000	40,000	40,000	40,000
Other Financing Uses	-	-	-	-	-	-

Other uses includes revenue that is generally classified as non-operating. It is typically in the form of advances-out which are then repaid into the general fund from the other district funds. In FY 2019 the district had advances-out and has advances-out forecasted through FY 2024. The district can also move general funds permanently to other funds and as the schedule above presents, the district has transfers forecasted through FY 2024. The table above presents the district's planned advances and transfers. The district can also have other uses of funds which is reflected in the table above.

BRECKSVILLE-BROADVIEW HTS CSD - - CUYAHOGA COUNTY

Five Year Forecast

Fiscal Year:	Actual	FORECASTED				
	2019	2020	2021	2022	2023	2024
Revenue:						
1.010 - General Property Tax (Real Estate)	36,478,353	38,877,149	38,490,863	38,725,016	38,917,133	39,133,299
1.020 - Public Utility Personal Property	2,292,210	2,344,366	2,431,725	2,492,565	2,554,542	2,617,111
1.030 - Income Tax	-	-	-	-	-	-
1.035 - Unrestricted Grants-in-Aid	5,240,877	5,225,662	5,225,672	5,225,683	5,225,640	5,225,651
1.040 - Restricted Grants-in-Aid	275,126	275,000	275,000	275,000	275,000	275,000
1.050 - Property Tax Allocation	4,113,030	4,124,963	4,138,023	4,160,614	4,183,116	4,198,513
1.060 - All Other Operating Revenues	1,926,934	2,022,159	2,002,987	1,985,297	1,969,023	1,954,104
1.070 - Total Revenue	50,326,530	52,869,299	52,564,270	52,864,175	53,124,454	53,403,678
Other Financing Sources:						
2.010 - Proceeds from Sale of Notes	-	-	-	-	-	-
2.020 - State Emergency Loans and Adv	-	-	-	-	-	-
2.040 - Operating Transfers-In	-	-	-	-	-	-
2.050 - Advances-In	92,745	141,196	40,000	40,000	40,000	40,000
2.060 - All Other Financing Sources	256,068	5,000	5,000	5,000	5,000	5,000
2.070 - Total Other Financing Sources	348,813	146,196	45,000	45,000	45,000	45,000
2.080 - Total Rev & Other Sources	50,675,343	53,015,495	52,609,270	52,909,175	53,169,454	53,448,678
Expenditures:						
3.010 - Personnel Services	30,450,826	31,502,468	32,524,235	33,399,251	34,300,518	35,314,427
3.020 - Employee Benefits	11,070,232	11,966,601	12,816,512	13,661,624	14,580,488	15,594,131
3.030 - Purchased Services	4,815,993	5,092,238	5,270,799	5,625,210	5,822,664	6,030,498
3.040 - Supplies and Materials	1,167,251	1,002,491	1,022,311	1,042,527	1,063,148	1,084,181
3.050 - Capital Outlay	103,100	706,015	184,834	184,834	184,834	184,834
Intergovernmental & Debt Service	-	-	-	-	-	-
4.300 - Other Objects	782,153	788,613	804,385	820,473	836,882	853,620
4.500 - Total Expenditures	48,389,555	51,058,426	52,623,076	54,733,919	56,788,534	59,061,691
Other Financing Uses						
5.010 - Operating Transfers-Out	315,549	314,900	80,000	80,000	80,000	80,000
5.020 - Advances-Out	141,196	40,000	40,000	40,000	40,000	40,000
5.030 - All Other Financing Uses	-	-	-	-	-	-
5.040 - Total Other Financing Uses	456,745	354,900	120,000	120,000	120,000	120,000
5.050 - Total Exp and Other Financing Uses	48,846,300	51,413,326	52,743,076	54,853,919	56,908,534	59,181,691
6.010 - Excess of Rev Over/(Under) Exp	1,829,043	1,602,169	(133,806)	(1,944,744)	(3,739,080)	(5,733,013)
7.010 - Cash Balance July 1 (No Levies)	15,646,443	17,475,486	19,077,655	18,943,849	16,999,105	13,260,025
7.020 - Cash Balance June 30 (No Levies)	17,475,486	19,077,655	18,943,849	16,999,105	13,260,025	7,527,012
		Reservations				
8.010 - Estimated Encumbrances June 30	352,000	352,000	352,000	352,000	352,000	-
9.080 - Reservations Subtotal	-	-	-	-	-	-
10.010 - Fund Bal June 30 for Cert of App	17,123,486	18,725,655	18,591,849	16,647,105	12,908,025	7,527,012
Rev from Replacement/Renewal Levies						
11.010 & 11.020 - Renewal Levies	-	-	-	-	-	-
11.030 - Cumulative Balance of Levies	-	-	-	-	-	-
12.010 - Fund Bal June 30 for Cert of Obligations	17,123,486	18,725,655	18,591,849	16,647,105	12,908,025	7,527,012
Revenue from New Levies						
13.010 & 13.020 - New Levies	-	-	-	-	-	-
13.030 - Cumulative Balance of New Levies	-	-	-	-	-	-
15.010 - Unreserved Fund Balance June 30	17,123,486	18,725,655	18,591,849	16,647,105	12,908,025	7,527,012

Enrollment History

Reference Line - Description	SFPR Data					
	FYE 2014	FYE 2015	FYE 2016	FYE 2017	FYE 2018	June #2 FY 2019
1 - Formula ADM	3,946.77	3,870.53	3,868.28	3,790.21	3,656.25	3,667.90
		-1.93%	-0.06%	-2.02%	-3.53%	0.32%
2 - Resident / Adjusted Total ADM	4,055.18	3,984.91	3,910.54	3,824.26	3,772.99	3,790.03
		-1.73%	-1.87%	-2.21%	-1.34%	0.45%
3 - Resident ADM (District Educated)	3,931.72	3,879.46	3,806.71	3,735.34	3,667.52	3,663.46
		-1.33%	-1.88%	-1.87%	-1.82%	-0.11%
4 - Total District Educated ADM	3,875.22	3,809.92	3,808.20	3,735.89	3,669.28	3,667.46
		-1.69%	-0.05%	-1.90%	-1.78%	-0.05%
11 - Economic Disadvantaged ADM	366.59	457.84	381.97	483.76	433.67	423.30
		24.89%	-16.57%	26.65%	-10.35%	-2.39%
12 - Economic Disadvantaged %	9.04%	11.49%	9.77%	12.65%	11.49%	11.17%
		27.09%	-14.98%	29.51%	-9.14%	-2.83%
13 - Special Education ADM	368.50	378.76	381.15	355.67	350.01	355.97
		2.78%	0.63%	-6.69%	-1.59%	1.70%

The number of students educated in the district has dropped by about 200 over the past five years, but last year was stable. This does not impact base state aid but will hold Student Wellness funds flat if enrollment remains flat, which is the assumption in the forecast. Line 4 above is the enrollment on which wellness dollars will be calculated.

